FOR A SUITABLE RETURN

The government's big push on infrastructure has yielded dividends, but there's still miles to go



"The government has outdone the private sector in terms of creation of models and platforms, such as Gati Shakti, ULIP - Universal Logistics Plan..."

VINAYAK CHATTERJEE
Founder and Managing Trustee, Infravision Foundation

"Output-based mechanisms are what we need in the future. It will bring in a lot of capacity from private sector, to think innovatively on the revenue side of the asset"

MANISH R. SHARMA
Partner, Infrastructure & Logistics Leader, PwC

"The integration of multi-modal connectivity is essential to make urban infrastructure successful. Just building metros and roads and flyovers is not enough"

K.V.B. REDDY
MD & CEO, L&T Metro Rail, (Hyderabad) Ltd

project. That is the mistake we make when designing PPPs.

METRO FALLACIES

K.V.B. Reddy: L&T took on the project [Hyderabad Metro Rail] and it has done almost the total capital outlay of Rs 20,000 crore. They acquired the bid in 2010 but it has seen many hurdles—state division, land acquisition delays, political will waxing and waning. In the PPP model, the state government's responsibility was to acquire the land free of encumbrances and give it to L&T, which is still not complete. Still, the firm has completed 69.2 km and declared the project fully commissioned. ■